

Clearlake Capital acquisition of Dun & Bradstreet

One-page transaction summary | Announcement 24 March 2025 | USD millions unless stated

Transaction	Entry	Base case	IC view
Buyer: Clearlake Capital Target: Dun & Bradstreet Offer: \$9.15 per share Equity value: approx. \$4.1bn Transaction value: approx. \$7.7bn	FY2024 revenue: \$2,381.7 FY2024 adjusted EBITDA: \$926.6 Entry multiple: approx. 8.3x Illustrative debt: 5.5x Sponsor equity: \$2,604.1	FY2029 EBITDA: \$1,156.3 Exit multiple: 8.3x Exit net debt: \$3,093.5 Gross MOIC: 2.50x Gross IRR: 20.1%	Conditional approval. The base case clears 20% without multiple expansion, but the bear case produces only 7.0% IRR. Retention, normalized EBITDA, software investment and debt terms are conditions to proceed.

Investment thesis. D&B; owns commercial data and identifiers embedded in credit, compliance, procurement and data-management workflows. Moderate growth, selective margin improvement and cash sweeps can generate the low end of the target return without multiple expansion. The thesis fails if recurring adjustments and software investment prevent cash conversion or if customer retention is weaker than the subscription profile suggests.

Value-creation levers	Principal risks	Scenario returns		
1. Commercial execution Pricing, renewal and cross-sell discipline. 2. Cost and portfolio focus International delivery, product simplification and shared technology. 3. Cash conversion Govern software investment and recurring transformation costs.	1. Organic growth and retention Mature products and pricing pressure. 2. Earnings quality Recurring add-backs and high capitalized development. 3. Leverage and disruption Rates, refinancing, AI substitution, privacy and data quality.	Case	MOIC	IRR
		Bear	1.40x	7.0%
		Base	2.50x	20.1%
		Bull	3.10x	25.4%

Five-year base-case progression						Approval conditions
Metric	2025E	2026E	2027E	2028E	2029E	
Revenue	\$2,470	\$2,556	\$2,646	\$2,738	\$2,834	
EBITDA	\$970	\$1,015	\$1,061	\$1,109	\$1,156	
Margin	39.3%	39.7%	40.1%	40.5%	40.8%	
Closing debt	\$4,823	\$4,492	\$4,098	\$3,633	\$3,093	
						- Confirm gross and net retention by product and cohort. - Recast EBITDA using a five-year add-back ledger. - Separate maintenance from growth software investment. - Test hedges, covenants and a 200bp rate shock. - Track organic growth, cash conversion and leverage quarterly.

Independent analysis prepared for educational and recruitment demonstration purposes using publicly available information. The analysis is illustrative, does not represent Clearlake Capital's actual underwriting or financing structure, and does not constitute investment advice.